Let the mind manage the body
Que l'esprit gère le corps

A

Index Number: .....

NATIONAL CERTIFICATE OF EDUCATION

2025

BUSINESS AND ENTREPRENEURSHIP EDUCATION (N560)

TOTAL TIME FOR SECTION A AND SECTION B: 2 HOURS

SECTION A: BUSINESS / ENTERPRISE / ECONOMICS

Candidates answer on the Question Paper.
Additional Materials: Calculator and Ruler

INSTRUCTIONS TO CANDIDATES

This assessment consists of two sections:

Section A: Business / Enterprise / Economics and Section B: Accounting

You should ensure that you have received the booklets for both Section A and Section B.

Instructions for Section A

You are advised to spend **1 hour 15 minutes** on Section A.

1. Write your index number in the space provided above.
2. Answer **ALL** questions.
3. Write in dark blue or black ink. Do not use correction fluid.
4. This section consists of **5** questions printed on **14** pages, numbered **2** to **15**.
5. The number of marks for each question is given in brackets ( ).
6. The total marks for Section A is **65**.

For Examiners' use							
Question No.	**1**	**2**	**3**	**4**	**5**	**Total**	**Signature**
Examiner							
Team Leader							
CE/ACE							

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Marks

SECTION A – Business / Enterprise / Economics

Answer ALL Questions (65 marks)

Question 1A (10 marks)

Circle the correct answer. Each item carries one mark.

1. Which document is required for a company to start its activities?

   A Certificate of Incorporation

   B Companies Act

   C Memorandum of Association

   D Share Certificate

2. Which of the following is one of the four elements of marketing?

   A People

   B Price

   C Profit

   D Production

Marks

3. Which of the following is an example of **internal communication** in an organisation?

A Face to face meeting between the manager and the bank

B Face to face meeting between the manager and the employees

C Sending an email to consumers

D Sending a fax to suppliers

4. Which form of business organisation needs to buy a license to run its activities?

A Cooperative

B Franchise

C Partnership

D Sole Trading

5. Which function of money enables trade to take place?

A Money is a medium of exchange.

B Money is a store of value.

C Money is a standard of deferred payment.

D Money is a unit of account.

6. What is the role of the Government as a business stakeholder?

A It sets up the enterprise and invests capital.

B It provides raw materials and supplies to the enterprise.

C It consumes the goods and services of the enterprise.

D It regulates and monitors the operation of the enterprise.

Marks

7. Which of the following refers to **sales promotion**?

A Attracting consumers on social media to buy a product

B Contacting customers directly

C Reducing price to increase sales

D Using free publicity to improve sales

8. What is **import**?

A The sale of goods and services to foreign countries

B The purchase of goods and services from foreign countries

C The trade within a country

D The production of goods and services

9. Which of the following is an operational risk?

A Poor day to day running of a business

B Poor objectives set for a business

C Poor adherence to laws and regulations

D Poor management of a business finance

10. What is disposable income?

A Income available for spending after taxes are paid

B Income paid to the government

C Income that is kept for future use

D Income available before taxes are paid

E
TL
CE

Marks

Question 1B (5 marks)

Fill in the blanks by choosing the correct term given in brackets.

1. …… involves employing workers to perform tasks in an enterprise. (**Controlling**, **Staffing**)

2. Trade within the country itself is known as …… . **(home trade**, **international trade)**

3. The role of the …… is to provide raw materials to an enterprise. **(consumers**, **suppliers)**

4. A …… in the price of a product would cause a downward movement along the supply curve. **(fall**, **rise)**

5. A …… is a person to whom dividend is paid out of a company's profit. **(seller**, **shareholder)**

[5]

E
TL
CE

Marks

Question 1C (8 marks)

(i) Match each given **statement** to its the correct term. Write your answers in the **answer grid** provided.

	Description
1	An institution established by the government to control the financial activities of a country
2	A business organisation which is owned and run jointly by its members, who share the profits or benefits
3	Where demand and supply curves meet
4	A document that specifies the internal rules of a company

	Term
A	Cooperative
B	Central Bank
C	Articles of Association
D	Memorandum of Association
E	Equilibrium point

Answer grid

Term	**1**	2	3	4
Picture				

[4]

Marks

(ii) Match each **description or definition** to the correct term. Write your answers in the **answer grid** provided.

	Description
1	A person who puts money into a business
2	Setting the price to similar products in the market
3	A person who organises and runs a business
4	Setting low prices to attract customers when starting a business

	Term
A	Penetration Pricing
B	Investor
C	Premium Pricing
D	Manager
E	Competitive Pricing

Answer grid

Term	1	2	3	4
Description / Definition				

[4]

E

TL

CE

Marks

Question 2 (7 marks)

(a) Faizal is employed as a bank teller. He earns a monthly income of Rs 33 000.

Table 1 shows Faizal's spending and savings patterns for the months of July and August.

Table 1: Spending and savings patterns

Monthly Income Rs 33 000		
Month	**Spending (Rs)**	**Savings (Rs)**
July	……	11 000
August	18 000	……

(i) Complete **Table 1** by calculating Faizal's:

1. spending for the month of July. [1]

2. savings for the month of August. [1]

(ii) Describe **one** way in which Faizal can use his monthly savings.

…….....

…….....

……..

[2]

Marks

(b) Johanna, Rakesh and Billy are entrepreneurs.

They decide to set up a coffee franchise business.

In the table below, tick **(✓)** the correct column to indicate whether the given statements offer an **advantage** or **disadvantage** to their business.

Statements		**Advantage**	**Disadvantage**
1.	There are fewer chances of the coffee business failing as an established brand.		
2.	Strict rules over pricing and layout of outlet reduce owner's control over one's own business.		
3.	Part of the profits has to be paid to the franchisor each year.		

[3]

E
TL
CE

Marks

Question 3 (12 marks)

(a) Mishana owns a pastry shop (T Bakery). She believes that clear communication with various stakeholders is key to the success of her business.

Table 2 shows some examples of the different forms of communication Mishana uses.

Table 2: Forms of communication

Telephone calls	**Chart**
Letters	**Meetings**

Which example given in **Table 2** is a form of:

(i) written communication?

…….....

(ii) verbal communication?

…….....

(iii) visual communication?

…….....

Marks

Effective communication is essential for the smooth operations of an enterprise and for building strong relationships with stakeholders. [3]

(b) List **three** stakeholders in T Bakery.

Stakeholder 1: ……..……

Stakeholder 2: ……..……

Stakeholder 3: ……..……

[3]

(c) State **two** features of the communication process.

Feature 1: ……..……..…

Feature 2: ……..…….

[2]

(d) Explain **one** importance of having effective communication at "T Bakery".

…….....

…….....

……..

[2]

(e) Explain **one** common cause of ineffective communication.

…….....

…….....

……..

[2]

E
TL
CE

Marks

Question 4 (12 marks)

Mariella is an entrepreneur who runs a small business that specialises in selling candles for various occasions.

In order to reach more customers, Mariella considers the use of e-marketing.

(a) Define the term '**entrepreneur**'.

…….....

…….....

……..

[2]

(b) Give two responsibilities of Mariella as an entrepreneur.

Responsibility 1: …….

Responsibility 2: …….

[2]

(c) Define the term '**e-marketing**'.

…….....

…….....

……..

[2]

Marks

(d) List **two** methods of e-marketing that Mariella could use to promote her product.

Method 1: ……..….

Method 2: …….……

[2]

(e) Explain **one i**mportance of using e-marketing in Mariella's business.

…….....

…….....

……..

[2]

(f) Mariella also plans to take a loan to expand her business.

Define the term '**loan**'.

……

……

……

[2]

E

TL

CE

Marks

Question 5 (11 marks)

Shanara manufactures and sells bracelets. **Table 3** shows the demand and supply schedules for bracelets.

Table 3: Demand and supply schedules for bracelets

Price per bracelet (Rs)	Quantity demanded per week (units)	Quantity supplied Per week (units)
10	100	40
20	90	50
30	80	60
40	75	75
50	60	80

Use **Table 3** to answer the questions below.

(a) Identify the equilibrium price and quantity.

Equilibrium price: …….….

Equilibrium quantity: ……..…….…….

[2]

(b) What is the quantity demanded when the price is Rs 50 per bracelet?

…….....

[1]

(c) State one factor other than price that might influence:

(i) the demand for bracelets: ……..

(ii) the supply of bracelets: ……...……..

[2]

Marks

(d) Shanara prepared a business plan when she set up her bracelet enterprise.

(i) Define the term '**business plan**'.

……..

…….

…….

[2]

(ii) State two users of a business plan.

User 1: ……..……

User 2: ……..……...……

[2]

(iii) Explain why an entrepreneur needs to prepare a business plan.

…….

……

…….

[2]

END OF PAPER

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